The Sample Trade

Most of the sample trades included in the chapters of this book are fictitious. Each sample trade uses techniques I wanted to illustrate, incorporating fictitious people in sometimes unusual circumstances. Call it poetic license, but I hope they give you some ideas on how to increase your profits or minimize your losses. Maybe you'll find them entertaining, too.

Testing Chart Patterns

How do you test chart patterns? It's not an easy question to answer. If you use commonly available software that tests trading strategies, you'll enter rules to model the shape of a double bottom, for example. When price closes above the top of the pattern, it signals an entry, so the software simulates a buy.

What about the exit signal? When do you sell? Should you use a stop-loss order or a signal from MACD or even a moving average crossover? No. Why not? Because you're not testing the chart pattern. You're testing how well a stop-loss order works or you're testing MACD or the moving average crossover system.

So I invented two tools I call the ultimate high and ultimate low to solve the testing problem.

Let's look at a chart so I can explain how these work and you'll understand the statistics in this book. **Figure I.1** shows two chart patterns, a double bottom and a head-and-shoulders top. Let's take the double bottom first.

Trading the Double Bottom

It appears at AB, two valleys that bottom near the same price. A buy signal occurs when price *closes* above the top of the pattern. The top of the pattern is at C and the entry signal (breakout) happens at D when price closes above the top of the double bottom. Entry is made the next day using the opening price, which is 17.06.

Let's say you're using traditional software and place a stop-loss order a penny below the low price of B, which is 15.70.